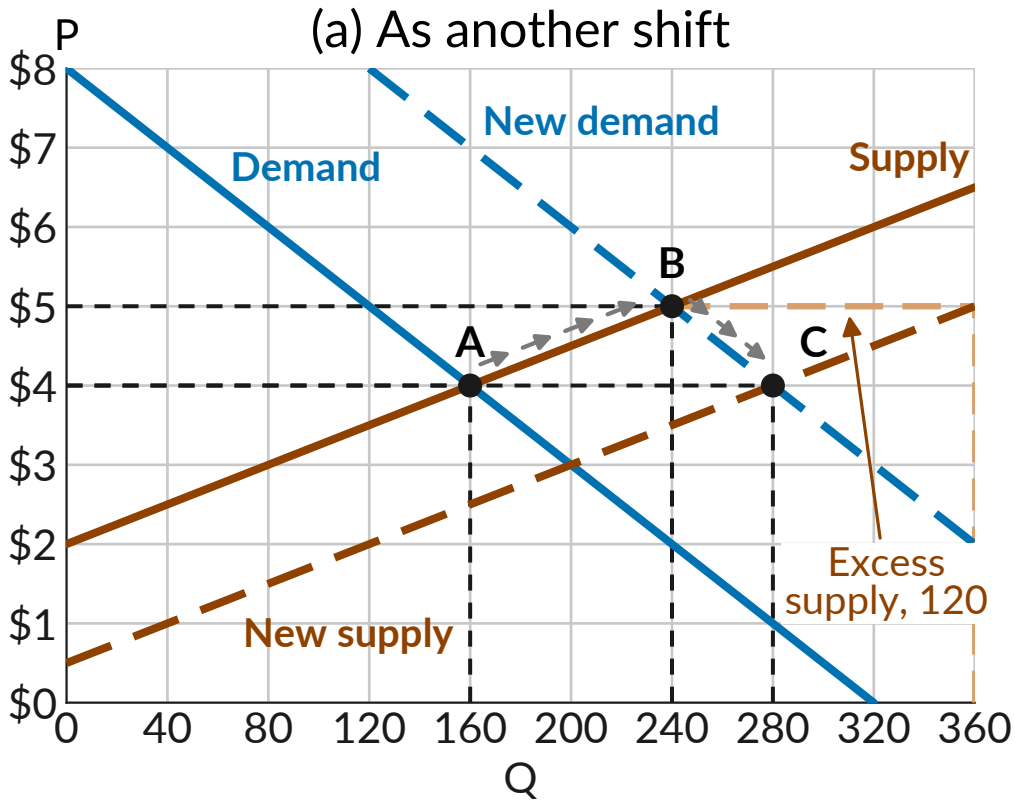
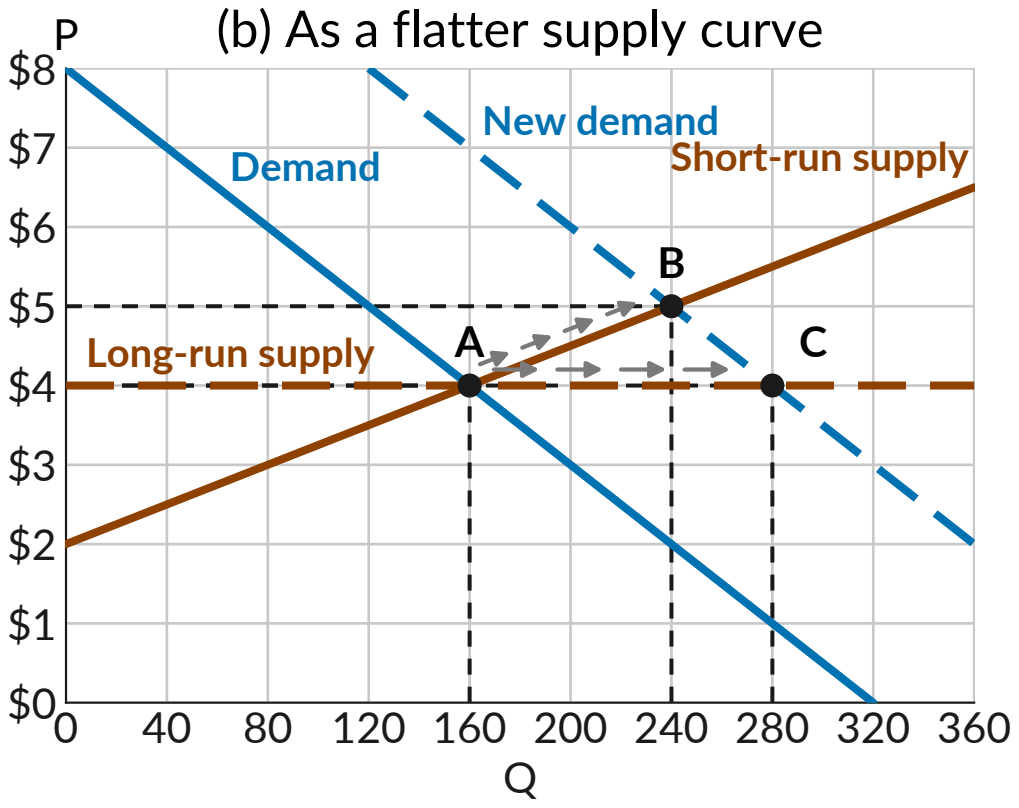

(a) As another shift
P
$8
$7
$6
$5
$4
$3
$2
$1
$0
New demand
Demand
Supply
B
A
C
Excess
supply, 120
New supply
0
40
80
120
160
200
240
280
320
360
Q


(b) As a flatter supply curve
P
$8
$7
$6
$5
$4
$3
$2
$1
$0
New demand
Demand
Short-run supply
B
Long-run supply
A
C
0
40
80
120
160
200
240
280
320
360
Q